

Term paper FIE401

Candidates: 251, 269, 275, 380

May 11, 2026

NHH



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1 Abstract

2 Intro

3 Data

4 Analysis

Table 4.1: Table 1A: Summary Statistics - SMI

	n	mean	median	sd	min	max
spread	16,588	0	0	0	0	0.004
log_mcap	16,588	3.356	3.165	0.975	1.459	5.659
turnover	16,588	0.902	0.721	0.664	0.119	7.089
btm	16,588	0.527	0.349	0.507	0.057	2.892
leverage	16,588	121.120	60	143.687	0	601.210

Table 4.2: Table 1B: Summary Statistics - CAC40/DAX30

	n	mean	median	sd	min	max
spread	62,645	0.002	0.001	0.002	0	0.012
log_mcap	62,393	3.160	3.114	0.994	0.836	5.659
turnover	62,393	0.553	0.321	0.959	0	7.089
btm	62,393	0.886	0.528	1.041	0.057	6.590
leverage	62,393	133.251	79.610	147.168	0	835.320

Table 4.3: Table 2: Pre-period Comparison — SMI vs. CAC40/DAX30

<i>Dependent variable:</i>					
	spread				
	(1)	(2)	(3)	(4)	(5)
SMI	−0.002*** (0.0002)	0.113 (0.232)	0.384*** (0.121)	−0.322** (0.142)	−9.667 (32.326)
Pre-period	Yes	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock	By stock
Observations	12,764	12,764	12,764	12,764	12,764
R ²	0.103	0.002	0.033	0.023	0.001
Adjusted R ²	0.103	0.002	0.033	0.023	0.001

Note:

*p<0.1; **p<0.05; ***p<0.01

Table 4.4: Table 3: Effect of Market Consolidation and Re-fragmentation on Stock Liquidity

	<i>Dependent variable:</i>			
	Bid-Ask Spread			
	(1)	(2)	(3)	(4)
SMI $\times$ Post	0.0002 t = 1.180	0.0003** t = 2.093		
SMI $\times$ Consolidated			0.0002 t = 1.165	0.0002* t = 1.876
SMI $\times$ Re-fragmented			0.0004** t = 2.387	0.0004** t = 2.446
log(Mcap)		-0.001*** t = -3.310		-0.001*** t = -3.433
Turnover		-0.0003*** t = -4.982		-0.0003*** t = -4.660
BTM		0.0002 t = 0.659		0.0001 t = 0.496
Leverage		-0.00000 t = -0.141		-0.00000 t = -0.273
Sample	Pre + consolidated	Pre + consolidated	Full	Full
Controls	No	Yes	No	Yes
Observations	55225	54961	79233	78969
Stock FE	Yes	Yes	Yes	Yes
Day FE	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock
Adjusted R ²	-0.011	0.018	-0.009	0.013

Note:

*p<0.1; **p<0.05; ***p<0.01

5 Conclusion